SENATE BILL 1080
By Johnson

HOUSE BILL 649

By Marsh

AN ACT to amend Tennessee Code Annotated, Section 67-4-409, relative to the recordation tax.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-4-409, is amended by adding the following new subsection:

(p)

(1) Notwithstanding another law to the contrary, the department shall remit back to each county, respectively, fifty percent (50%) of the recordation taxes on the transfer of realty levied under subsection (a) that are collected within that county. The commissions authorized in subdivision (d)(2) and the allocations to various funds and purposes directed in subsections (g), (i), (j), (l), and (m) must be deducted from the fifty percent (50%) of the revenue that is retained by the state, and the distribution to county governments must not reduce the portion of the funds allocated for those purposes.

(2) The funds received by counties pursuant to this subsection (p) must not be used for salaries and benefits, but may be used for:

(A) Infrastructure, including, but not limited to, road and bridges, schools, and other public facilities;

(B) Debt service for capital projects;

(C) Matching funds for state and federal projects; and

(D) Other nonrecurring expenses.

(3) In allocating the funds received under this subsection (p), a county shall dedicate not less than fifty percent (50%) of the funds to transportation infrastructure projects; provided, that a county must not use the funds from this revenue source to supplant other state or local moneys appropriated or allocated for building, maintaining, or improving county roads or bridges. When presenting the annual work program pursuant to § 54-7-111, the chief administrative officer of the county highway department shall also present recommendations to the county commission for the use of these funds, prior to their appropriation.

(4) Due to the fluctuations in collections from the tax levied under this section, funds received by the county under this subsection (p) must not be considered a local revenue source when calculating the five-year average of local funds pursuant to § 67-3-901(d).

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it, and applies to transfers of real property on or after such date.